

Hindustan Aeronautics Ltd (HAL)

Sector: Industrials

ROE

N/A

ROCE

N/A

D/E

0.62x

OPM

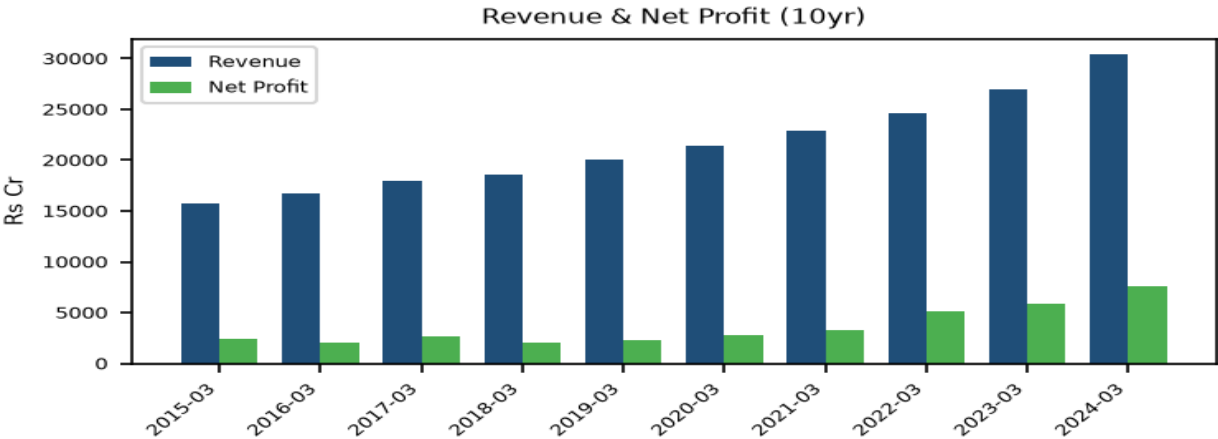
32.1%

Revenue CAGR 5yr

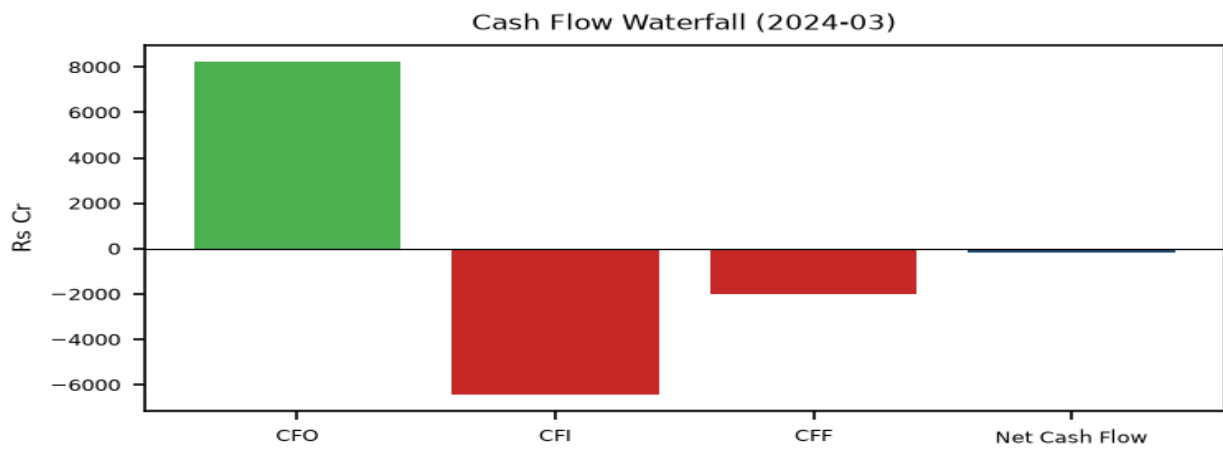
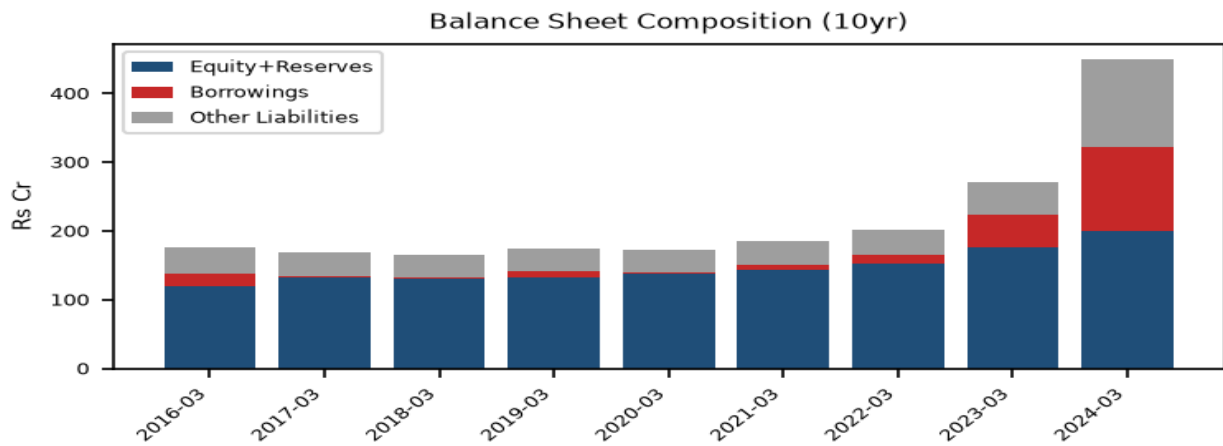
8.7%

Free Cash Flow

Rs 1,814 Cr



ROE/ROCE chart unavailable — insufficient or sanity-masked history.



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns